

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-09

TZ SSE BUYER, LLC

v.

COSCO SHIPPING LINES Co., LTD

**RESPONDENT’S MOTION FOR PARTIAL SUMMARY JUDGMENT
REGARDING SHIPMENTS NOT IN U.S.-FOREIGN TRADE**

Respondent COSCO Shipping Lines Co. Ltd. (“Respondent” or “COSCO”) files this dispositive motion pursuant to 46 C.F.R. §§ 502.12 and 502.70, for partial summary judgment as to the Complaint of Complainant TZ SSE Buyer, LLC (f/k/a Impact Products, LLC and Safety Zone, LLC) (“Complainant”). COSCO seeks judgment with respect to shipments covered by the Complaint (“Canada Shipments”) that are outside the subject matter jurisdiction of the Federal Maritime Commission because they did not move by water between a port in the United States and a port in a foreign country, as required by 46 U.S.C. § 40102(7).

INTRODUCTORY STATEMENT

Respondent has recently discovered that some of the shipments covered by the Complaint and for which Complainant seeks reparations, did not move by water from a foreign port to a U.S. port. Rather, they moved from one foreign port to another foreign port, from which foreign port they were transported by land to the United States. As detailed below, such

foreign-foreign shipments are, under longstanding precedent, outside the jurisdiction of the Commission. Respondent does not currently know how many, or precisely which, shipments covered by the Complaint are outside the FMC's jurisdiction but will confer with Complainant to identify the excluded shipments once the Presiding Officer grants the Motion.

FACTUAL BACKGROUND

The facts relevant to this Motion are set forth in Respondent's Statement of Undisputed Material Facts and will not be repeated here. In brief, there is no genuine dispute that at least some of the shipments covered by the Complaint did not involve a U.S. port, as required for FMC jurisdiction under the Shipping Act. Rather, these import shipments were discharged at a port in Canada (Prince Rupert or Vancouver), from which they were transported to the U.S. by land (rail and/or truck) for delivery at a rail terminal, pursuant to a through bill of lading.

Although Respondent was not required to confer with Complainant before filing this dispositive motion, it did so nevertheless, as multiple other complainants faced with the same situation have voluntarily withdrawn claims regarding shipments through Canada.¹ Complainant, however, declined to withdraw its claims regarding the non-jurisdictional

¹ For example, in Docket No. 24-01, Complainant explicitly dropped all claims for reparations regarding shipments destined to Skokie, Illinois, because at least some of those shipments were discharged from the vessel in Canada, before land transportation to Skokie. *Visual Comfort & Co. v. COSCO Shipping Lines Co., Ltd.*, Complainant's Opening Brief at FN1. Likewise, in *TPG Pressure, Inc., v. Omni Logistics, LLC*, Docket No. 22-31, the Complainant explained that it had "withdrawn any claims for the containers from Canada." 2024 WL 1641934 at *14 (Complainant's Response to Respondents' Proposed Findings of Fact, Apr. 9, 2024).

shipments, instead proffering distinctions without a difference and citations to Commission decisions irrelevant to the point at hand. As a result, Respondent was forced to file this Motion.

ARGUMENT

A. Summary Judgment Standards

As the Commission has explained, “Motions for summary judgment are considered under Rule 56 of the Federal Rules of Civil Procedure (FRCP), which provides that such motions may be granted ‘if the pleadings, depositions, answers to interrogatories, and admissions on file, together with the affidavits, if any, show that there is no genuine issue as to any material fact and that the moving party is entitled to judgment as a matter of law.’” *EuroUSA Shipping, Inc.— Possible Violations of Section 10 of The Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. § 515.27*, Docket No. 08-06, 2008 WL 7149852 at *4 (F.M.C.). And in determining whether there are genuine issues of material fact, “[o]nly disputes over facts that might affect the outcome of the suit under the governing law will properly preclude the entry of summary judgment.” *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986).” *Id.*

B. Burden of Proof

Although Respondent bears the burden of showing that there is no genuine issue of fact, it is Complainant that bears the ultimate burden of proving that the Commission has jurisdiction over the Canada Shipments. *Marine Transport Logistics, Inc. v. CMA-CGM (America) LLC*, 2019 WL 5206007 at *2 (ALJ Oct. 8, 2019) (“the party asserting jurisdiction bears the burden of proof if the opposing party raises lack of subject matter jurisdiction”).

C. The FMC Lacks Jurisdiction Over the Canada Shipments

The FMC's regulatory jurisdiction under the Shipping Act extends only to shipments that were loaded or discharged *at a* United States port. The Commission has no jurisdiction over shipments between foreign countries or over cargo that originates in or is destined to the United States, but which is loaded or discharged at a foreign port, including ports in Canada or Mexico. This is true even if the cargo is transported by land between the foreign country and the United States before or after the ocean transportation, as the Shipping Act requires that the *vessel* call at a U.S. port for FMC jurisdiction to attach.

This limitation on Commission jurisdiction is expressly imposed by the Shipping Act's definition of "common carrier," which states that the term is strictly limited to "a person holding itself out . . . to provide transportation *by water* of cargo . . . between the United States and a foreign country . . . that . . . utilizes, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes *between a port in the United States and a port in a foreign country.*" 46 U.S.C. § 40102(7) (emphasis added). This, on its face, requires that the cargo must be transported *by water* between the United States and a foreign country and that the vessel on which the cargo is carried must move between a port in a foreign country and a port in the United States. Both the Commission and have long and consistently interpreted this limitation to mean that Commission jurisdiction applies to a specific shipment only if *both* of the following requirements are met.

1. The origin or the destination of the cargo must be in the U.S.,

and

2. The shipment must be *loaded to or discharged* from the vessel at a U.S. port.

If *either* of these requirements is not met, the Shipping Act does not apply, and the FMC lacks jurisdiction to adjudicate the dispute in question. The focus of this motion is on the second requirement, as some of the shipments as to which Complainant asserts claims were discharged from the vessel in Canada, even if subsequently moved by land between Canada and the United States.

In *Austasia Intermodal Lines, Ltd. v. FMC*, 580 F.2d 642 (D.C. Cir. 1978), for example, the FMC held that it had jurisdiction over cargo that was moved by the carrier by land (rail/truck) from the U.S. (Detroit) to a port in Canada (Vancouver), then loaded onto a vessel and carried to Australia. The D.C. Circuit firmly rejected the FMC's assertion of jurisdiction over this movement, even though it was part of a through (intermodal) movement between the United States and a foreign country. In reaching this conclusion, the Circuit Court stated:

“According to the statute, a common carrier by water in foreign commerce is one that transports people or cargo *by water* between the United States and a foreign country; thus by clear implication *a United States port* is required somewhere along the route. Ace and [its affiliate] however, do not make use of United States ports at any point in their service, but instead ship property overland out of the United States and *thereafter exclusively between foreign ports*.” *Id.* at 644 (emphasis added, italics in original).

Thus, the express holding of the court was that transportation between a port in an Australasian country and a port in Canada was *not* within the coverage of the Shipping Act even though there was a *through movement* involving *land* transportation between the U.S. and Canada.

Counsel for COSCO informed Counsel for Complainant about this, and other cases to like effect. Complainant's only response was to purportedly distinguish *Austasia* on the ground that *Austasia* involved through transportation from the United States to a foreign country, via Canada, not transportation from a foreign country to the United States via Canada. This

directional assertion is a distinction without a difference, given that the Shipping Act refers to transportation “between” the United States and foreign countries and vessels moving “between” a port in the United States and a port in a foreign country. Complainant’s claim to the contrary is simply frivolous.

The *Austasia* ruling has been adopted by the Commission and reinforced by the Court of Appeals for the Ninth Circuit. In *Foreign-to-Foreign Agreements - Exemption*, 24 S.R.R. 1448 (FMC 1988), reconsideration denied, 25 S.R.R. 455 (FMC 1989), aff’d sub nom. *Transpacific Westbound Rate Agreement v. FMC*, 951 F.2d 950 (9th Cir. 1991), the Commission, citing *Austasia*, held that carriers engaged in foreign-foreign trade (in which it included carriers providing service to/from Canada) were not operating as “common carriers” as defined by the Shipping Act and hence were outside the Commission's regulatory purview. In so doing, it recognized that Congress had, in crafting the Shipping Act of 1984, deliberately left *Austasia* undisturbed and indeed, had expressly stated that “[The definition of ‘common carrier’] applies only to the extent that the passengers or cargo are **loaded or discharged** at a U.S. port.” 24 S.R.R. at 1457-58 (quoting from S. Rep. No. 414, 97th Cong., 2d Sess. 26 (1982), brackets in original, emphasis added). The Commission further identified its own testimony to Congress reflecting the limited nature of its jurisdiction, including with reference to cargo moving through contiguous countries:

“[T]he legislation does not, nor could it, extend the scope of the Shipping Act to carriers providing transportation which takes place wholly outside the United States. For example, a carrier providing transportation from port or point in Canada . . . to Europe or Asia cannot be subject to U.S. regulation, **even if the cargo originated in the United States.**” Id. at 1458 (emphasis added, brackets in original).

The Commission reaffirmed the requirement that transportation subject to the Shipping Act must involve the loading or discharge of cargo at a U.S. port in rejecting various petitions for reconsideration. 25 S.R.R. 455 (FMC 1991). The Commission there reaffirmed its adoption of *Austasia*, stating that its relevance flowed not from its precise facts, but rather “from its reasoning and its instructions as to proper statutory interpretation.” *Id.* at 462. It further confirmed the import of *Austasia*, saying that to be a common carrier for a shipment, the carrier must provide “a U.S. port call.” *Id.* It went on to describe the two requirements for Shipping Act authority, and consequently, FMC jurisdiction, as follows:

“A regulated service must involve [1] a ‘holding . . . out to provide transportation by water between the United States and a foreign country [i.e., a U.S. origin or destination] . . .’ and [2] must utilize ‘for all or part of that transportation, a vessel operating . . . between a *port in the United States* and a port in another country.’” 25 S.R.R. at 464 (ellipses in original) (emphasis added).

The Commission also specifically addressed the type of situation present in this case, where vessel loading or discharge takes place in Canada, rather than the United States:

“[T]he intermodal movement of Canadian (or Mexican” cargo imports or exports through U.S. ports is outside the Shipping Act. . . . [S]ervices where there is a ‘holding out’ and where U.S. cargoes are clearly present nevertheless *are excluded* if no port calls are contemplated in the ordinary course of business.” *Id.* at n.14.

The Commission's decisions were upheld by the Court of Appeals for the Ninth Circuit in *Transpacific Westbound Rate Agreement v. FMC*, wherein the Court concluded that “the Commission's narrow interpretation of ‘common carriage’ was an appropriate interpretation of the Shipping Act.” 951 F.2d at 953.

Complainant has in our discussions asserted that these cases involved the issue whether the carrier involved was a common carrier, and that such issue is not involved here. But that assertion is demonstrably false. Quite to the contrary, the precedent firmly holds that, where a carrier calls both at foreign ports and U.S. ports, it is only a “common carrier” with respect to the cargo that is loaded or discharged at a U.S. port, even if that cargo is all carried on the same vessel and even if the ocean transportation is preceded or followed by a land movement between the United States and the foreign port of loading/discharge.

First, Complainant wholly ignores the actual language of the Shipping Act, which does not admit of an interpretation of “if a common carrier somewhere then a common carrier everywhere. *Foreign-to-Foreign Agreements*, 25 S.R.R. at 462. There, the Commission ***specifically rejected*** Complainant’s purported distinction, referring to it as a “risible outcome.” *Id.* In this respect, it described the holding in *Austasia* as follows: “The Court held only that because the carrier’s Detroit-Australia service did not include any vessel calls at a U.S. port, the carrier was not a Shipping Act ‘common carrier’ ***for that service.***” *Id.* (emphasis added).

Even more directly, the FMC concluded in both its original decision and on reconsideration that the Shipping Act of 1984 reflected a clear congressional intent to distinguish between U.S.-foreign commerce and foreign-foreign commerce, ***even when carried on the same vessel.*** In the original decision, it quoted from the legislative history as follows:

“This definition [of ‘common carrier’] applies only to the extent that passengers or cargo transported ***are loaded or discharged at a U.S. port.*** Thus, a liner carrier that accepts ***U.S.-origin*** intermodal cargo . . . at Halifax and calls at Boston for further loading en route to Rotterdam would be a ‘common carrier’ for purposes of the bill ***only*** with respect to the ***Boston-Rotterdam*** leg of its voyage.” 24

S.R.R. at 1458 (emphasis added, quoting from S. Rep. No. 3, 98th Cong., 1st Sess. 19 (1983)).²

The Commission further reaffirmed this holding on reconsideration:

“[T]he Senate Commerce Report repeatedly instructed the Commission that the definition of ‘common carrier’ should be applied surgically, so as to avoid regulation of services at foreign ports. The case in point twice used by the Committee as a guide to proper interpretation specifically stated that a carrier calling at both U.S. and Canadian ports on the same voyage and loading U.S.-origin cargo at the Canadian port is *not* a Shipping Act ‘common carrier’ with respect to its Canadian port calls.” 25 S.R.R. at 462 (italics in original, citing to S. Rep. No. 3, 98th Cong., 1st Sess. 19 (1983)).

The Commission went on to say:

“[T]he House Merchant Marine and Fisheries Committee said in its report that the phrase ‘by water’ in the definition [of common carrier] was meant to make it clear that ‘the transportation referred to is water transportation from the United States to a foreign country. *Thus the definition does not encompass the so-called Canadian diversion situation where cargo is transported by land from the United States to a contiguous country and from there by water to an overseas foreign country.*’” Id. (emphasis added, citing to and quoting from H.R. Rep. No. 53 (Part 1), 98th Cong., 1st Sess. 29 (1983)).

Accordingly, as demonstrated beyond peradventure by these cases, COSCO may have been a “common carrier” when it discharged cargo destined for Complainant at a U.S. port, but it was ***decidedly not*** a common carrier within the meaning of the Shipping Act when it discharged such cargo ***in Canada***.

The Commission continues to follow the *Austasia/Foreign-to-Foreign* limitation on its subject matter jurisdiction. In *Color Brands, LLC v AAF Logistics, Inc.*, Docket No. 22-18, 2024 WL 4034609, (I.D. on Remand., Aug. 27, 2024, Admin. Final), for example, Chief

² The same statement may also be found at S. Rep. No. 414, 97th Cong., 2d Sess. 26 (1982).

Administrative Law Judge Wirth quoted the definition of “common carrier and explained that “only the shipments that arrive or depart from a United States port are regulated. Therefore, the claims based on shipments that did not utilize United States ports are excluded” *Id.* at *4 (citations omitted).³ Likewise, in *CMI Distribution, Inc. v. Service by Air, Inc.*, Docket No.17-05, 2019 WL 4734318 at *11 (ALJ May 24, 2019) *aff’d in pertinent part*, 2021 WL 3367603 (FMC July 26, 2021), Chief Judge Guthridge ordered dismissal of all import shipments discharged from the vessel in Canada.

Apart from its misbegotten attempt to distinguish *Austasia*, Complainant also cited cases to the effect that, where through intermodal transportation is concerned, the Commission has jurisdiction over ocean carrier behavior occurring during both the sea and the land portions of the transportation. -- *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 2011 WL 7144008, at *5-8 (FMC Aug. 1, 2011); *Intermodal Motor Carriers Conference, American Trucking Ass’n, Inc. v. OCEMA, et al.*, FMC Docket No. 20-14, 2024 WL 641501, at *13 (Feb. 13, 2024). But those cases are wholly irrelevant, as they both involved shipments

³ Chief Judge Wirth also addressed this limitation in an earlier order requiring clarification, stating:

A common carrier, in part, “uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.” 46 U.S.C. § 40102(7)(A)(iii); see also 46 C.F.R. § 515.2(e)(2). Shipments that did not utilize a United States port may not be eligible for reparations. Therefore, clarification is needed to determine whether each shipment was transported by water between a port in the United States and a port in a foreign country. Color Brands should submit a Supplement Declaration and additional exhibits, which should indicate if the shipments were by water between a port in the United States and a port in a foreign country.” Docket No. 22-18, Order Requesting Clarification (March 22, 2024).

that were discharged or loaded at U.S. ports, not ports in Canada, Mexico, or other countries, with subsequent or prior land transportation between a U.S. port and a U.S. inland point.

CONCLUSION

For the foregoing reasons, Respondent respectfully submits that the Presiding Officer should grant the Motion to dismiss shipments outside the FMC's jurisdiction and order that Complainant and Respondent cooperate in identifying the specific shipments to be dismissed.

Dated: March 11, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on this 11th day of March, 2025, a true and correct copies of the foregoing **Respondent's Motion for Partial Summary Judgment** was served by electronic mail on all counsel of record in accordance with 46 C.F.R. Part 502 and the Commission's Order of May 12, 2020 as follows:

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